Company Registration Number 03197756



QPR Holdings Limited

Financial Statements

31 May 2023

QPR Holdings Limited

Financial statements

Year ended 31 May 2023

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The board of directors	Mr A Bhatia Mr R Gnanalingam Mr R Reilly Mr L Hoos
Registered office	Matrade Loftus Road Stadium South Africa Road London W12 7PJ
Auditor	BDO LLP Chartered Accountants Statutory Auditor 55 Baker Street London W1U 7EU
Bankers	The Royal Bank of Scotland PLC 155 Bishopsgate London EC2M 3YB Metro Bank One Southampton Row London WC1B 5HA

QPR Holdings Limited

Executive Chairman's Report

Year ended 31 May 2023

On behalf of the Board of Directors, I present the annual financial statements and reports for the year ended 31 May 2023.

On the Field

Despite our best efforts and intentions, after a good start to the 2022/23 season, the Club eventually finished in 20th position. During the season we secured the transfers of Jake Clarke Salter, Kenneth Paal and Leon Balogun on free transfers, while Tyler Roberts, Taylor Richards, Ethan Laird and Tim Iroegbunam joined on season long loans. Michael Beale departed in November 2022 after being offered the Managerial position at Glasgow Rangers. He was accompanied by Neil Banfield, Damian Matthew and Harry Watling who all left at the same time.

Pursuant to their departure, the Board appointed Neil Critchley as Head Coach in December 2022. However, due to a poor set of results, Neil departed in February 2023. He was replaced by Gareth Ainsworth in the same month. The results till the end of the season were sufficient for us to retain our position in the Championship.

At the time of writing, due to the poor results at the start of the 2023/24 season, Gareth Ainsworth unfortunately had to depart and has been replaced by Marti Cifuentes.

Training Ground

At the start of the 2022/23 season the First Team moved from the previous facility in Harlington into the site Heston, though they were being housed in a temporary facility which consists of a gym, medical and physio units, offices, analysis rooms and a cafeteria, while the new training ground was being constructed. This allowed the First Team's operations to be conducted seamlessly at Heston, while work continued with the new training ground. In June 2023, the building was completed which allowed the staff and players from the First Team and Academy to move into their new offices and changing rooms. At the time of writing, work is still continuing to the rest of the training ground project. We are hopeful that all the works will be completed prior to the start of the 2024/25 season.

Loftus Road Stadium

Pursuant to the feedback from the fans, we introduced rail seatings at the start of the 2022/23 season. To-date we have 1,199 rail seats in Lower Loft and R Block as well as 231 seats at the away end. The additional vocal support from the home areas has not gone unnoticed during the season and the Board is very appreciative that this fan led proposal has been a success.

CEO

After more than 8 years at the Club, I have decided to retire from my position as CEO, whilst continuing as Chairman which I was appointed to in November 2023. The new CEO, Christian Nourry has been appointed with effect from 12 January 2024 and I wish him all the best in progressing the Club forward.

Lee Hoos
Chairman

8 February 2024

Principal activities
The principal activity of the Company and the Group is that of a professional football club, with related commercial activities.

Business Review
The results for the year are summarised below:

- Group turnover was £23.3m, which is higher than in the previous year (£22.1m).
- Total gate receipt revenue was £5.7m, similar to the prior year (£5.6m).
- Group operating losses reduced to £21.1m after player trading, compared to £24.1m in the prior year.
- At the reporting date the Group had bank reserves of £1.9m, compared to £8.1m in the prior year.
- At the reporting date the Group 's deficit position was £56.8m, compared with a £49.6m deficit in the prior year.

Cash flow and treasury
Net cash outflow from operations amounted to £20.2m as compared to £22.7m in the previous year.

The Group incurred a cash cost of £1.9m (2022: £2.9m) to acquire additional players during the year. The Group received £30.5m (2022: £16.9m) in shareholder financing during the year.

Risks and uncertainties
There are a number of potential risks and uncertainties that could have a material impact on the Group's long-term performance. These risks and uncertainties are monitored by the Board on a regular basis and the Board remains confident that the Group has sufficient financial backing to manage these issues.

Football
The Group's income will always be directly affected by the performance of the first team and the Club's league status. The level of attendance may be influenced by factors such as the success of the team, ticket prices, broadcast coverage and the general economic climate.

The performance of the playing squad, as well as the football management staff, is hugely important to the Group, which maintains its strategy of trying to retain the highest quality playing and management staff. The Group operates in a highly competitive market for talent and the market rates for transfers and wages is, to a varying degree, dictated by competitors and the Group recognises the significance of this in relation to the desire to maintain the strength of the first team.

The Club is regulated by the rules of the various governing bodies and any change to these rules could have an impact on the Group. The Group monitors its compliance with all applicable rules and considers the impact of any changes.

Commercial
The Group derives income from sponsorship and other commercial arrangements. Broadcasting and certain other revenues are derived from contracts that are currently centrally negotiated by the Football League; the Group does not have any influence on the outcome of the relevant contract negotiations.

Post reporting date events
The details of these are included in note 24 of the financial statements.

Future Developments
The short term objective is to be competitive in the Championship and target a play-off place. The Board's primary aim is also to implement the strategic plans to ensure that the Club is self-sustainable in the near future.

Going Concern
The Group's business activities, together with the factors likely to affect its future development and performance are set out above. The financial position of the Group, its cash flows, liquidity position and borrowings are described in these financial statements.

The Group is dependent on the continued support of its significant shareholders, Total Soccer Growth Holdings Limited, QPR Newco LLC and Sea Dream Limited in order to remain a going concern. These shareholders have confirmed under deed that they will continue to provide financial support to the Group for at least a period until 31 May 2025, in order for the Group to be able to meet its liabilities as they fall due. The directors have considered the Group's financial position, forecast cashflow and the availability of financial support from its significant shareholders and consider that it is appropriate to the prepare the financial statements on a going concern basis.

Financial risk management objectives and policies
Financial instruments are used for financing purposes only. It is Group policy not to trade in financial instruments. The details of financial risk management are included in note 23 of the financial statements.

The board of directors sets out the financial risk management policies that are implemented by the finance department. The Board considers that financial risks do not pose a major threat to the Company.

Lee Hoos
Chairman

Approved by the directors on 8 February 2024

The directors have pleasure in presenting their report and the audited financial statements of the Group for the year ended 31 May 2023.

Results and dividends
The loss for the year amounted to £20.3m (2022: £24.7m). The directors have not recommended a dividend.

Directors
The directors who served the Company during the year were as follows:

Mr A Bhatia	
Mr T Fernandes	Resigned 8 July 2023
Mr R Gnanalingam	
Mr R Reilly	

Directors' responsibilities
The directors are responsible for preparing the strategic and directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under Company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and the Group and of the profit or loss of the Group for that year.

In preparing those financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company and Group will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Group and Company's transactions and disclose with reasonable accuracy at any time the financial position of the Group and Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Group and Company hence taking reasonable steps for the prevention and detection of fraud and other irregularities.

Directors' indemnities
The Group maintains directors' and officers' liability insurance providing appropriate cover for any legal action brought against its Directors.

Strategic Report
The business review and risk management policy are located in the strategic report on pages 3 to 4.

Auditor
BDO LLP are deemed to be re-appointed under section 487(2) of the Companies Act 2006.

Insofar as the directors are aware:

- there is no relevant audit information of which the Group's auditor is unaware; and
- the directors have taken all steps that they ought to have taken to make themselves aware of any relevant audit information and to establish that the auditor is aware of that information.

Signed on behalf of the directors

Lee Hoos
Chairman
Approved by the directors on 8 February 2024

Opinion on the financial statements

In our opinion the financial statements:

- the financial statements give a true and fair view of the state of the Group's and of the Parent Company's affairs as at 31 May 2023 and of the Group's loss for the year then ended;
- the financial statements have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of QPR Holdings Limited ("the Parent Company") and its subsidiaries ("the Group") for the year ended 31 May 2023 which comprise the Consolidated Statement of Comprehensive Income, the Consolidated and Company Statement of Financial Position, the Consolidated and Company Statement of Cash Flows , the Consolidated and Company Statement of Changes in Equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group and the Parent Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Group or Parent Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Directors report and financial statements, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Group and the Parent Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the Parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the Parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors
As explained more fully in the Directors' responsibilities, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Group's and the Parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Parent Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

***Extent to which the audit was capable of detecting irregularities, including** fraud*

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Non-compliance with laws and regulations

Based on:
- Our understanding of the Group and the industry in which it operates;
- Discussion with management and those charged with governance
- Obtaining and understanding of the Group's policies and procedures regarding; and compliance with laws and regulations

we considered the significant laws and regulations to be the applicable accounting framework and UK tax legislation.

The Group is also subject to laws and regulations where the consequence of non-compliance could have a material effect on the amount or disclosures in the financial statements, for example through the imposition of fines or litigations.

Our procedures in respect of the above included:
- making enquiries of management and reviewing minutes of the board of Directors in order to identify any instances of fraud or non-compliance with laws and regulations;
- Review of correspondence with tax authorities for any instances of non-compliance with laws and regulations;
- Review of financial statement disclosures and agreeing to supporting documentation;
- Involvement of tax specialists in the audit; and
- Review of legal expenditure accounts to understand the nature of expenditure incurred.

Fraud
We assessed the susceptibility of the financial statements to material misstatement, including fraud. Our risk assessment procedures included:
- Enquiry with management and those charged with governance regarding any known or suspected instances of fraud;

Obtaining an understanding of the Group's policies and procedures relating to:
  - Detecting and responding to the risks of fraud; and
  - Internal controls established to mitigate risks related to fraud.
- Review of minutes of meeting of those charged with governance for any known or suspected instances of fraud;
- Discussion amongst the engagement team as to how and where fraud might occur in the financial statements;
- Performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud; and
- Considering remuneration incentive schemes and performance targets and the related financial statement areas impacted by these.

Based on our risk assessment, we considered the areas most susceptible to fraud to be management override of controls and Revenue.

Our procedures in respect of the above included:
- Identifying and testing journal entries to supporting documentation, in particular any journal entries to revenue not in line with expectations and reviewing journal entries for journals inconsistent with the usual transactions of the Group.
- agreeing a sample of revenue to underlying contracts and/or other third-party documentation to ensure they are recorded at the correct time and to the correct amount
- agreeing a sample of revenues to cash receipts
- reviewed transactions pre and post year end to check that the associated revenue is reflected in the correct period.
- identifying and tested material manual journal entries to revenue
- Assessing significant estimates made by management for bias or judgement that represented a risk of material misstatement due to fraud. In particular we have considered in respect of revenue recognition, including accrued and deferred revenue, and recoverability of trade and other receivable.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members who were all deemed to have appropriate competence and capabilities and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Parent Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Parent Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Parent Company and the Parent Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Gareth M Jones
AF9E71C5233D451...
Gareth M Jones (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London, UK
9 February 2024

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

QPR Holdings Limited

Consolidated statement of comprehensive expense

Year ended 31 May 2023

	Note	2023 £'000	2022 £'000
Revenue	2	**23,281**	22,124
Cost of sales		**(35,239)**	(37,275)
Gross loss		**(11,958)**	(15,151)
Administration expenses		**(10,225)**	(9,084)
Operating loss	3	**(22,183)**	(24,235)
Profit on disposal of plant & equipment	6	**-**	2
Profit on disposal of player registrations	6	**1,049**	221
		(21,134)	(24,102)
Finance income	7	**19**	188
Finance costs and similar charges	7	**778**	(843)
Loss on ordinary activities before taxation		**(20,337)**	(24,667)
Tax	8	**-**	-
Loss for the financial year and total comprehensive expense		**(20,337)**	(24,667)

All of the activities of the Group are classed as continuing.

The notes on pages 15 to 29 form part of these financial statements

QPR Holdings Limited

Consolidated statement of financial position

As at 31 May 2023

	Note	2023 £'000	2022 £'000
Non-current assets			
Intangible assets	9	**2,270**	6,186
Property plant and equipment	10	**40,169**	28,724
		42,439	34,910
Current assets			
Inventories	12	**701**	307
Trade and other receivables	13	**5,891**	3,589
Cash and cash equivalents		**1,860**	8,097
		8,452	11,993
Current liabilities	14	**(85,025)**	(69,525)
Net current liabilities		**(76,573)**	(57,532)
Total assets less current liabilities		**(34,134)**	(22,622)
Non-current liabilities	15	**(22,722)**	(26,997)
Net Liabilities		**(56,856)**	(49,619)
Capital and reserves			
Share capital	21	**134,665**	121,565
Share premium account		**160,301**	160,301
Convertible bond - equity component		**1,263**	1,263
Profit and loss account		**(353,085)**	(332,748)
Net deficit		**(56,856)**	(49,619)

These financial statements were approved by the directors and authorised for issue on 8 February 2024, and are signed on their behalf by:



.....

Lee Hoos
Chairman

The notes on pages 15 to 29 form part of these financial statements

QPR Holdings Limited

Company statement of financial position

As at 31 May 2023

	Note	2023 £'000	2022 £'000
Non-current assets			
Property plant and equipment	10	**40,169**	28,724
Investments	11	**5,520**	5,520
		45,689	34,244
Current assets			
Inventories	12	**701**	307
Trade and other receivables	13	**3,249**	2,945
Cash and cash equivalents		**1,707**	7,792
		5,657	11,044
Current liabilities	14	**(84,680)**	(71,125)
Net current liabilities		**(79,023)**	(60,081)
Total assets less current liabilities		**(33,334)**	(25,837)
Non-current liabilities	15	**(15,686)**	(15,703)
Net Liabilities		**(49,020)**	(41,540)
Capital and reserves			
Share capital	21	**134,665**	121,565
Share premium account		**160,301**	160,301
Convertible bond - equity component		**1,263**	1,263
Profit and loss account		**(345,249)**	(324,669)
Net deficit		**(49,020)**	(41,540)

The Company has taken advantage of section 408 (3) of the Companies Act 2006 not to publish its statement of profit or loss.

The loss dealt with in the financial statements of the parent Company was £20,580,000 (2022 £24,945,000).

These financial statements were approved by the directors and authorised for issue on 8 February 2024,, and are signed on their behalf by:



.....

Lee Hoos
Chairman

Company Registration Number: 03197756

The notes on pages 15 to 29 form part of these financial statements

Statement of cash flows

Year ended 31 May 2023

Consolidated

	Note	2023 £'000	2022 £'000
Net cash outflow from operating activities	22	**(20,173)**	(22,652)
Net cash outflow from investing activities	22	**(12,125)**	(1,594)
Net cash inflow from financing activities	22	**26,061**	21,598
Net change in cash and cash equivalents		**(6,237)**	(648)
Cash and cash equivalents at beginning of year		**8,097**	8,745
Cash and cash equivalents at end of year		**1,860**	8,097

Company

	Note	2023 £'000	2022 £'000
Net cash outflow from operating activities	22	**(24,330)**	(14,023)
Net cash outflow from investing activities	22	**(12,150)**	(7,958)
Net cash inflow from financing activities	22	**30,395**	23,632
Net change in cash and cash equivalents		**(6,085)**	1,651
Cash and cash equivalents at beginning of year		**7,792**	6,141
Cash and cash equivalents at end of year		**1,707**	7,792

The notes on pages 15 to 29 form part of these financial statements

QPR Holdings Limited

Consolidated statement of changes in equity

Year ended 31 May 2023

Consolidated	Share capital £'000	Share premium £'000	Convertible bond £'000	Profit and loss account £'000	Total £'000
Equity shareholders' funds as at 1 June 2021	110,565	160,301	1,263	(308,081)	**(35,952)**
Transactions with owners					
Ordinary Share issue	11,000	-	-	-	**11,000**
Loss and total comprehensive expense for the year	-	-	-	(24,667)	**(24,667)**
Equity shareholders' funds as at 31 May 2022	121,565	160,301	1,263	(332,748)	**(49,619)**
Transactions with owners					
Ordinary Share issue	13,100	-	-	-	**13,100**
Loss and total comprehensive expense for the year	-	-	-	(20,337)	**(20,337)**
Equity shareholders' funds as at 31 May 2023	**134,665**	**160,301**	**1,263**	**(353,085)**	**(56,856)**

The notes on pages 15 to 29 form part of these financial statements

QPR Holdings Limited

Company statement of changes in equity

Year ended 31 May 2023

Company	Share capital £'000	Share premium £'000	Convertible bond £'000	Profit and loss account £'000	Total £'000
Equity shareholders' funds as at 1 June 2021	110,565	160,301	1,263	(299,724)	**(27,595)**
Transactions with owners					
Ordinary Share issue	11,000	-	-	-	**11,000**
Loss and total comprehensive expense for the year	-	-	-	(24,945)	**(24,945)**
Equity shareholders' funds as at 31 May 2022	121,565	160,301	1,263	(324,669)	**(41,540)**
Transactions with owners					
Ordinary Share issue	13,100	-	-	-	**13,100**
Loss and total comprehensive expense for the year	-	-	-	(20,580)	**(20,580)**
Equity shareholders' funds as at 31 May 2023	**134,665**	**160,301**	**1,263**	**(345,249)**	**(49,020)**

The notes on pages 15 to 29 form part of these financial statements

1. Accounting policies

a) Statement of compliance

QPR Holdings Limited is a private Company limited by shares incorporated in England and Wales, No: 03197756. The Registered Office is Matrade Loftus Road Stadium, South Africa Road, London, W12 7PJ.

b) Basis of accounting

The consolidated financial statements have been prepared in accordance with Financial Reporting Standard 102 as issued by the Financial Reporting Council. The financial statements have been prepared on the historical cost basis except for player registration fees greater than one year, the FFP settlement and loans from the EFL which are recorded at amortised cost. The principal accounting policies that have been applied consistently by all Group companies to all periods presented in these consolidated financial statements are set out below. The financial statements are prepared in sterling, rounded to the nearest thousand, which is the functional currency of the entity.

The preparation of financial statements in conformity with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the accounting policies selected for use by the Group. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed below. Use of available information and application of judgement are inherent in the formation of estimates. Actual outcomes in the future could differ from such estimates.

c) Going concern

In assessing the appropriateness of the going concern assumption, the Directors have produced detailed cashflow projections. These cash flow projections show a significant net operating and investing cash outflow for the going concern review period. Having made appropriate enquiries, the financial statements have been prepared on the going concern basis on the grounds that the Group's main shareholders have confirmed under deed of support to provide loan facilities of up to £39.4m to the period ending 31 May 2025. The signed deed of support also provides that loans will not be recalled during the commitment period unless there is a material deviation from the cash flow projections, or the Group enters into debt restructuring exercise with the agreement of its creditors.

The financial statements make no provision for any adjustment should the going concern basis not be appropriate.

d) Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and all Group undertakings. These are adjusted, where appropriate, to conform to Group accounting policies.

e) Revenue

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable in the normal course of business. Revenue represents match receipts, sponsorship and other income associated with the continuing principal activity of running a professional football club and excludes Value Added Tax.

Match day revenue is recognised over the period of the football season as games are played. League income is spread over the financial year in which they relate. Sponsorship and similar commercial income is recognised over the duration of the respective contracts. Facility fees for live television coverage of games are recognised when the match is played.

f) Player costs and transactions

(i) *Initial capitalisation*

The costs associated with the acquisition of player registrations are capitalised as intangible fixed assets. Any intangible assets acquired on deferred terms are recorded at the fair value at the date of acquisition. The fair value represents the net present value of the costs of acquiring player registrations.

(ii) *Amortisation*

These costs are fully amortised on a straight-line basis in equal annual instalments over the period of the respective contracts.

(iii) *Contingent consideration*

Under the conditions of certain transfer agreements, further fees will be payable to the vendors in the event of the players concerned making a certain number of First Team appearances. Liabilities in respect of these additional transfers are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved, or the specified future events will occur.

1. **Accounting policies *(continued)***

(iv) ***Impairment***

The Group will perform an impairment review on the intangible assets if events or changes in circumstances indicate that the carrying amount of the player may not be recoverable. The Group compares the carrying amount of the asset with its recoverable amount. The Group does not consider that it is possible to determine the value in use of an individual football player in isolation as that player (unless via a sale or insurance recovery) cannot generate cash flows on his own. Furthermore, the Group also considers that all of the players are unable to generate cash flows even when considered together. Accordingly, the Group considers the smallest cash-generating unit to contain all the other First Team players, the Stadium and the training facilities.

The Group calculates the value in use of this cash-generating unit by discounting estimated expected future cash flows (being the pre-player trading cash flows generated by the Group's existing operations and any future capital expenditure on the ground and First Team squad). The Group compares this with its assessment of the fair value less costs to sell off all of the First Team players and the higher of these two numbers is deemed to be the recoverable amount.

In certain rare instances there may be an individual player whom the Group does not consider to be part of the First Team squad and who will therefore not contribute to the future cash flows earned by the cash-generating unit. This is normally due to a permanent career-threatening injury/condition or due to a serious and permanent fall out with the Group's senior football management and Directors which therefore means the Group consider it highly unlikely, he will ever play for the First Team again. In this situation, the carrying value of the player is removed from the carrying value of players assessed as part of the cash-generating unit referred to above and instead this player will be assessed for impairment in isolation by considering his carrying value with the Group's best estimate of his fair value less costs to sell. The Group estimate this using one of the following sources:

- in the case of a player who has permanently fallen out with the Group's senior football management and directors, either the agreed selling price in the event the player has been transferred after the year-end; or
- If there have not been any bids for the player, management's best estimation of the disposal proceeds (less costs) of the player on an arm's length basis. This is determined by the Group's senior football management in conjunction with the Directors who will use the outcome of recent player disposals (by both the Group and other football clubs) as a basis for their estimation. Any costs to sell, such as agency costs are deducted from the fair value; or
- in the case of a player who has suffered a career-threatening injury/condition, the value attributed to the player by the Group's insurers.

(v) ***Disposals***

Profits or losses on the disposal of these registrations represent the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

(vi) ***Remuneration***

Remuneration of players is charged in accordance with the terms of the applicable contractual agreements and any discretionary bonus when there is a legal or contractual obligation. Liabilities in respect of player loyalty fees are provided for, as part of operating expenses, when payment becomes probable as the player is contracted to the football club and the loyalty fee is payable prior to the next transfer window at the date the accounts are signed.

g) Fixed assets

All fixed assets are initially recorded at cost net of any capital contribution, except for the stadium which has been included at a valuation of the replacement cost of the new stadium.

h) Depreciation

Depreciation is calculated so as to write off the cost of an asset, less its estimated residual value, over the useful economic life of that asset as follows:

Freehold Buildings	-	10 to 50 years straight line
Plant & machinery	-	5 years straight line
Fixtures & fittings	-	5 years straight line

Land and assets under construction are not depreciated.

i) Inventories

Inventories are valued at the lower of cost and net realisable value using the first in first out method, after making due allowance for obsolete and slow moving items.

1. **Accounting policies *(continued)***

j) **Foreign exchange**
Transactions denominated in foreign currencies are translated into Sterling and recorded at the rates of exchange ruling at the date of the transactions. Translation differences are dealt with in the consolidated statement of comprehensive expense.

k) **Deferred taxation**
Deferred tax is recognised in respect of all material timing differences that have originated but not reversed at the reporting date where transactions or events have occurred at that date that will result in an obligation to pay more, or a right to pay less or to receive more tax. Deferred tax is measured on an undiscounted basis at the tax rates that are expected to apply in the periods in which timing differences reverse, based on tax rates and laws enacted or substantively enacted at the reporting date. Deferred tax assets are recognised to the extent that it is regarded more likely than not that they will be recovered.

l) **Financial instruments**
Financial instruments are classified and accounted for, according to the substance of the contractual arrangement, as either financial assets, financial liabilities, or equity instruments. An equity instrument is any contract that evidences a residual interest in the assets of the Group after deducting all of its liabilities.

Financial assets
The Group's financial-assets relate to trade and other receivables and cash and cash equivalents. Trade and other receivables are classified as loans and receivables and are measured initially at fair value plus transaction costs and are carried subsequently at amortised cost under the effective interest method, less provision for any impairment. Any change in their value through impairment or reversal of impairment is recognised in the consolidated statement of profit or loss. There are no financial assets classified as fair value through profit or loss or as held to maturity or available for sale. All financial assets are assessed for indicators of impairment at each consolidated statement of financial position date. Financial assets are impaired where there is evidence that a loss has occurred and that estimated future cash flows of the financial asset have been impacted. Objective evidence of impairment for a portfolio of receivables could include a Group's past experience of collecting payments, an increase in the delayed number of payments in the portfolio and the average credit period, as well as observed changes in the national or local economic conditions that correlate with default on receivables.

Impairment of financial assets
All financial assets are assessed for indicators of impairment at each reporting date.

Financial liabilities
Financial liabilities which include bank loans, overdrafts and trade and other payables are measured initially at fair value net of transaction costs under the effective interest method and thereafter at amortised cost. Finance charges are accounted for on an accruals basis in the consolidated statement of comprehensive expense using the effective interest method.

De-recognition of financial liabilities
The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled, or they expire.

m) **Finance costs**
Finance costs on all borrowings except those that are directly attributable to the acquisition, construction or production of a qualifying asset are recognised in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash flows through the expected life of the borrowings.

For qualifying assets if the borrowed funds are specifically for the purpose of obtaining a qualifying asset, the Group determines the amount of borrowing costs eligible for capitalisation as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. If obtained via general borrowings, then the amount capitalised is determined by applying the applicable capitalisation rate for the period. The capitalisation rate used in the period shall be the weighted average of rates applicable to the Group's general borrowings that are outstanding during the period.

Any non-current assets acquired on deferred terms are recorded at the discounted present value at the date of acquisition. The associated payable is then increased to the settlement value over the period of deferral, with this value being charged as a notional finance cost to profit or loss.

Similarly, any intangible asset disposed of on deferred terms will be initially recorded at the discounted present value of future receipts and the receivable is then increased to the settlement value over the period of deferral with this value being charged as notional finance income to profit or loss.

1. Accounting policies *(continued)*

n) Pension costs

The Group operates a defined contribution pension scheme for employees. The assets of the scheme are held separately from those of the Company. The annual contributions payable are charged to profit or loss.

o) Leases

Where assets are financed by leasing agreements that give rights approximating to ownership (finance leases, hire purchase agreements), the assets are treated as if they have been purchased outright. The amount capitalised is the fair value of the leased asset or, if lower, the present value of the minimum lease payments. If there is reasonable certainty of obtaining ownership the asset is depreciated over its useful life, if not it is depreciated over the lease term if this is shorter.

Lease payments are analysed between capital and interest components so that the interest element of the payment is charged to profit or loss over the term of the lease and is calculated so that it represents a constant proportion of the balance of the capital repayments outstanding. The capital element reduces the amounts payable to the lessor.

All other leases are treated as operating leases. Their annual rents are charged to the Statement of Comprehensive Income on a straight-line basis over the term of the lease.

p) Investments

Investments in subsidiaries are stated at cost less impairment. Impairment reviews are carried out as required.

q) Cash and cash equivalents

Cash and cash equivalents consist of cash in hand and balances with banks including deposits with an original maturity of three months or less. Cash and cash equivalents are measured at fair value.

r) Critical accounting judgements and estimates

In the application of the Group's accounting policies, which are described herein, the directors are required to make judgements, estimates and assumptions about the carrying value of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates. The principal balances in the financial statements where changes in estimates and assumptions may have a material impact are:

(i) *Contingent liabilities*

Current liabilities and provisions contain contingent bonuses payable to employees, players and football clubs and are based on the best information available to management at the reporting date. However, the future costs assumed are inevitably only estimates, which may differ from those ultimately incurred.

(ii) *Recoverable amount of non-current assets*

All non-current assets, including property, plant and equipment and intangible assets, are reviewed for potential impairment using estimates of the future economic benefits attributable to them. Such estimates involve assumptions in relation to future ticket income, media and sponsorship revenue and on pitch performance. Any estimates of future economic benefits made in relation to non-current assets may differ from the benefits that ultimately arise, and materially affect, the recoverable value of the asset.

2. Revenue

The revenue and loss before tax are attributable to the one principal activity of the Group and are derived from activities wholly within the United Kingdom.

Revenue may be analysed as follows:

	2023	2022
	£'000	£'000
Gate receipts	**5,696**	5,606
Broadcasting rights	**8,843**	9,185
Sponsorship, advertising	**2,209**	1,849
Commercial income	**2,647**	2,809
Sales of inventories	**1,370**	1,487
Other income	**2,516**	1,188
	23,281	22,124

3. Operating loss

This is stated after charging the following:

	2023 £'000	2022 £'000
Amortisation of intangible assets	**3,059**	3,552
Depreciation of owned fixed assets	**1,696**	1,349
Inventory impairment	**-**	-
Operating lease rentals		
- land & buildings	**40**	484
Auditor's remuneration		
- as auditor	**33**	28
- accountancy	**16**	14
- tax advice	**24**	9

4. Particulars of employees

The average number of staff, including executive directors, employed by the Group during the financial year can be analysed as follows:

	2023 No.	2022 No.
Number of football support staff	**16**	10
Players, managers and coaches	**129**	136
Administrative staff	**19**	19
Commercial, marketing and retail staff	**18**	18
Stadium and maintenance staff	**7**	8
	189	191

The aggregate payroll costs of the above were:

	2023 £'000	2022 £'000
Wages and salaries	**22,411**	24,215
Social security costs	**2,759**	3,135
Other pension costs	**238**	211
	25,408	27,561

Key management compensation:

	2023 £'000	2022 £'000
Wages and salaries	**1,688**	1,942
Other pension costs	**16**	2
	1,704	1,944

5. Directors remuneration

No remuneration or benefits were paid to directors during the year (2022: £Nil)

6. Profit on disposal of non-current assets

	2023 £'000	2022 £'000
Profit on disposal of plant & equipment	-	2
Profit on disposal of players' registrations	**1,049**	221

7. Finance income and costs

	2023 £'000	2022 £'000
Finance Income		
- Bank interest	**19**	2
- Amortised cost credit - EFL loans	-	186
	19	188
Finance costs and similar charges		
- Interest on deferred payments due to HMRC	-	(6)
- Amortised cost charge - EFL loans	**(174)**	(141)
- Amortised cost charge - FFP settlement	**(174)**	(676)
- Amortised cost charge - Football creditor greater than one year	-	(3)
- Finance lease and hire purchase	**(23)**	(17)
- Withholding Tax accrued interest release	**1,149**	-
	778	(843)

8. Taxation on ordinary activities

(a) Analysis of charge in the year

	2023 £'000	2022 £'000
Current tax:		
UK Corporation tax based on the results for the year (note 8(b))	-	-

(b) Factors affecting current tax charge

The tax assessed for the period is lower than the standard rate of corporation tax in the UK, the differences are explained below:

	2023 £'000	2022 £'000
Loss on ordinary activities before taxation	**(20,337)**	(24,667)
Loss on ordinary activities multiplied by standard rate of tax of 20% (2022 - 19%)	**(4,067)**	(4,687)
Expenses not deductible for tax	**33**	37
Unrecognised deferred tax	**4,034**	750
Total current tax (note 8(a))	-	-

It was substantively enacted on 24 May 2021 that the main rate of corporation tax will increase from 19% to 25% from 1 April 2023. For profits up to £50,000, the corporation tax rate will remain at 19% and for profits over £250,000, the corporation rate will be 25%. Marginal relief provisions will be introduced for profits between the lower and upper limits.

Tax losses carried forward at the reporting date were £418m (2022: £397m) relating to trading losses and £4.5m (2022: £4.5m) relating to capital losses. A deferred tax assets has not been recognised in the accounts as there is insufficient evidence that the asset will be recoverable. The unprovided deferred tax asset is calculated at £104m (2022: £99m) for trading losses and £1.1m (2022: £1.1m) for capital losses.

9. Intangible fixed assets

Group	Player registrations £'000
Cost	
At 1 June 2022	11,155
Disposals	(2,727)
At 31 May 2023	8,428
Amortisation	
At 1 June 2022	4,969
Charge for the year	3,059
On disposals	(1,870)
At 31 May 2023	6,158
Net book value	
At 31 May 2023	**2,270**
At 31 May 2022	6,186

The Group has chosen not to disclose carrying amounts for individual players, the average remaining amortisation period for the current players is 11 months.

Amortisation charges are included within the statement of comprehensive income under cost of sales.

10. Tangible fixed assets

Group and Company

	Freehold land and buildings £'000	Assets under construction £'000	Plant & Machinery £'000	Fixtures & Fittings £'000	Total £'000
Cost or valuation					
At 1 June 2022	26,128	10,362	6,498	1,009	43,997
Additions	444	12,173	495	29	13,141
Reallocation	58	(3,356)	3,298	-	-
At 31 May 2023	26,630	19,179	10,291	1,038	57,138
Depreciation					
At 1 June 2022	8,408	-	5,863	1,002	15,273
Charge for the year	1,087	-	599	10	1,696
At 31 May 2023	9,495	-	6,462	1,012	16,969
Net book value					
At 31 May 2023	**17,135**	**19,179**	**3,829**	**26**	**40,169**
At 31 May 2022	17,720	10,362	635	7	28,724

The net carrying value of assets held under finance lease and hire purchase contracts is £308,009 (2022: £268,343).

Borrowing costs of £1,144,000 have been capitalised in period (2022: £878,860).

The carrying value of the asset in course of construction is the Heston training ground cost to date.

11. Investments

Company

	2023 £'000	2022 £'000
Net book value at 1 June and 31 May	**5,520**	5,520

The investment represents a 100% holding in Queens Park Rangers Football & Athletic Club Limited, a professional football club, incorporated in England and Wales. The registered office of the subsidiary is the same as QPR Holdings Limited, noted on page 1. Queens Park Rangers Football & Athletic Club Limited is included in this set of consolidated financial statements. The Directors have assessed the carrying value of the investment and are of the opinion that it is supported by the underlying membership to the English Football League.

12. Inventories

	Group		Company	
	2023 £'000	2022 £'000	**2023 £'000**	2022 £'000
Goods held for resale.	**701**	307	**701**	307

13. Trade and other receivables

	Group		Company	
	2023 £'000	2022 £'000	**2023 £'000**	2022 £'000
Trade receivables	**2,897**	1,759	**2,097**	1,759
Player registration transfer receivables	**872**	132	**-**	-
VAT	**625**	775	**625**	775
Other receivables	**110**	114	**110**	114
Prepayments and accrued income	**1,387**	809	**417**	297
	5,891	3,589	**3,249**	2,945

14. Current liabilities

	Group		Company	
	2023 £'000	2022 £'000	**2023 £'000**	2022 £'000
Trade payables	**2,934**	1,560	**2,934**	1,560
Player registration transfer payables	**217**	2,158	**-**	-
Amounts owed to Group undertakings	**-**	-	**8,522**	12,388
Convertible shareholder loans	**69,664**	52,255	**69,664**	52,255
Taxation and social security	**847**	2,185	**80**	1,241
Other creditors	**36**	26	**38**	26
EFL loans	**2,978**	3,055	**-**	-
FFP settlement	**1,700**	1,700	**-**	-
Accruals and deferred income	**5,677**	5,420	**2,470**	2,489
Obligations under finance lease and hire purchase contracts	**125**	95	**125**	95
Accrued interest – convertible bond	**600**	945	**600**	945
Accrued interest – non-convertible bonds	**247**	126	**247**	126
	85,025	69,525	**84,680**	71,125

The shareholder loans relate to loans repayable to QPR Asia Sdn Bhd, Total Soccer Growth Sdn Bhd, Sea Dream Limited and QPR Newco LLC. The loans and amounts owed to Group undertakings are unsecured, interest free and repayable on demand. Shareholder loan drawdowns for the year were £30,509,000 (2022: £16,910,000). During the period the Company capitalised £13,100,000 of shareholder loans, further details on this are shown under note 21.

15. Non-current liabilities

	Group		Company	
	2023	2022	**2023**	2022
	£'000	£'000	**£'000**	£'000
EFL loans	**-**	2,732	**-**	-
FFP settlement	**7,036**	8,562	**-**	-
Convertible bond – liability component	**8,737**	8,737	**8,737**	8,737
Non-convertible bonds	**6,800**	6,800	**6,800**	6,800
Obligations under finance lease and hire purchase contracts	**149**	166	**149**	166
	22,722	26,997	**15,686**	15,703

The English Football League (EFL) loans are shown at an amortised cost basis, £2,978,000 (2022: £6,033,000) which falls due within one year and is shown within note 14. The loans are unsecured, carry no interest and are due to be fully settled by April 2024.

The FFP settlement is shown at an amortised cost basis, discounted from a £10,200,000 full value (2022: £11,900,000), £1,700,000 falls due within one year and is shown within note 14, the remainder is payable over a set number of years as agreed with the EFL.

The convertible bond represents the present value of the financial liability of a bond issue undertaken in November 2020 to raise funds for the purchase and development of Heston Sports Ground, the site will become the training ground for the First Team, Under 23s and Academy. The £10,000,000 bond issued to Shirieene Hajamaideen (the spouse of Ruben Gnanalingham a director of the Company) on 2 November 2020, has an initial term of five years, is unsecured and carries a fixed rate of interest of 6% per annum.

The financial liability has been calculated by comparing it to similar debt at the date of issue with no conversion option, the residual amount of £1,263,000 (2022: £1,263,000) has been allocated to equity.

The non-convertible bond was issued to the public in November 2021 to raise additional funds for the development of Heston Sports Ground. The bond will be repaid in five years from the date of investment, with interest paid annually from 1 June 2022 at 8% (5% cash and 3% Club credit). At the year-end £297,000 had been settled, the balance of £247,000 (2022: £126,000) is shown within note 14.

The Group's FFP settlement, EFL loans and Player registration transfer payables at the reporting date which have been discounted at the Group's cost of capital and which do not include interest payments are detailed as follows:-

	2023			2022		
	Full value	**Discounting adjustment**	**Carrying value**	Full value	Discounting adjustment	Carrying value
	£'000	**£'000**	**£'000**	£'000	£'000	£'000
Less than 1 year						
FFP settlement	**1,700**	**-**	**1,700**	1,700	-	1,700
EFL loans	**2,978**	**-**	**2,978**	3,055	-	3,055
Player registration transfer payables	**217**	**-**	**217**	2,158	-	2,158
Greater than 1 year						
FFP settlement	**8,500**	**(1,464)**	**7,036**	10,200	(1,638)	8,562
EFL loans	**-**	**-**	**-**	2,978	(246)	2,732
Player registration transfer payables	**-**	**-**	**-**	-	-	-
Total	**13,395**	**(1,464)**	**11,931**	20,091	(1,884)	18,207

16. Payables - capital instruments

The maturity profile of the Group's total borrowings at the reporting date which are carried at amortised cost are as follows:

	2023			2022		
	Principal £'000	**Interest £'000**	**Total £'000**	Principal £'000	Interest £'000	Total £'000
In one year or less or on demand	**73,859**	**483**	**74,342**	56,278	731	57,009
In more than one year but not more than five years	**5,819**	**981**	**6,800**	8,730	1,049	9,779
In more than five years	**1,700**	**-**	**1,700**	3,296	104	3,400
	81,378	**1,464**	**82,842**	68,304	1,884	70,188

17. Commitments under operating leases

The Group is committed to paying a non-cancellable operating lease in relation to land & buildings which does expire within the next five years.

	Group		Company	
	2023 £'000	2022 £'000	**2023 £'000**	2022 £'000
Not later than 1 year	-	44	-	44
Later than 1 year and not later than 5 years	-	-	-	-
	-	44	-	44

18. Finance lease and hire purchases

Minimum lease payments under finance lease and hire purchases fall due as follows

	Group		Company	
	2023 £'000	2022 £'000	**2023 £'000**	2022 £'000
Not later than 1 year	**125**	95	**125**	95
Later than 1 year and not later than 5 years	**149**	166	**149**	166
	274	261	**274**	261

Obligations under finance leases and hire purchase contracts are secured upon the assets to which they relate as shown in note 10.

19. Related parties

During the year, loans were provided to the Group by to Total Soccer Growth Sdn Bhd, QPR Newco LLC and Sea dream Limited, all shareholders of the Group. Details of these loans are shown in note 14 and 15.

During the year the Group pledged £115,000 (2022: £115,000) to QPR in the Community Trust.

During the year the Group spent £65,765 (2022: £107,678) on behalf of Rangers Developments Limited, an entity under common control, with £29,749 (2022: £32,448) is still owed to the Group at the reporting date and is included within other receivables in note 13.

In accordance with the exemption permitted by Financial Reporting Standard 102, Section 33 "Related Party Disclosures", transactions with other Group undertakings have not been disclosed in these financial statements.

20. Ultimate Controlling Party

The Company is incorporated in England and Wales. The address of the Company's registered address is Matrade Loftus Road Stadium, South Africa Road, London, W12 7PJ. The Company is a subsidiary of Total Soccer Growth Holdings Ltd which is the ultimate holding Company incorporated in Malaysia. The smallest and largest Group in which results of the Company are consolidated is that headed by Total Soccer Growth Holdings Ltd which is the holding Company of Total Soccer Growth Sdn Bhd. The consolidated accounts of this company are available to the public and may be obtained from the Company registrar.

On 31 May 2023 the Company then capitalised £13.1m of shareholder loans, as a result, the ownership of QPR Holdings Limited was as follows

- 51.61% Total Soccer Growth Holdings Ltd, the ultimate owner of which is Ruben Gnanalingam
- 25.07% QPR Asia Sdn. Bhd, the ultimate owners of which are Tony Fernandes, Kamarudin Meranun
- 12.58% QPR Newco LLC, the ultimate owner of which is Richard Reilly
- 10.58% Sea Dream Ltd, the ultimate owners of which are the L.N.Mittal Family
- 0.16% variety of minority shareholders

Since the year end there has been changes to the ownership structure as detailed in Note 24.

21. Share capital and reserves

Authorised share capital:

	2023	2022
	£'000	£'000
12,717,899,029 Ordinary shares of £0.01 each	**127,179**	114,079
7,486,367,000 Ordinary B shares of £0.001 each	**7,486**	7,486
	134,665	121,565

Allotted and called up:

	2023		2022	
	No	**£'000**	No	£'000
Ordinary shares of £0.01 each	**12,717,899,029**	**127,079**	11,407,899,029	114,079
Ordinary B shares of £0.001 each	**7,486,367,000**	**7,486**	7,486,367,000	7,486
		134,665		121,565

The ordinary B shares have a different par value but carry the same voting rights.

The £13.1m of shareholder loans capitalised on 31 May 2023 have been allotted into 1,310,000,000 ordinary shares of £0.01 par.

Reserves

Share premium account - This reserve records the amount above the nominal value received for shares sold, less transaction costs.

Profit and loss account - This reserve records retained earnings and accumulated losses.

Convertible bond – equity component of convertible instruments issued.

22. Notes to the cash flow statement

Group

	2023 £'000	2022 £'000
Cash flows from operating activities		
Loss for financial year	**(20,337)**	(24,667)
Amortisation	**3,059**	3,552
Depreciation	**1,696**	1,349
Interest receivable	**(19)**	(188)
Interest payable & similar charges	**(778)**	843
Change in stocks	**(394)**	83
Change in debtors	**(2,362)**	(487)
Change in creditors	**34**	(891)
Profit on sale of plant & equipment	**-**	(2)
Profit on player registrations	**(1,049)**	(221)
Cash used in operations	**(20,150)**	(20,629)
Interest paid	**(23)**	(23)
Net cash outflow from operating activities	**(20,173)**	(20,652)
Investing activities		
Payments to acquire player registrations	**(1,941)**	(2,877)
Payments to acquire tangible fixed assets	**(12,169)**	(7,958)
Receipts from sale of player registrations	**1,966**	9,237
Receipts from sale of tangible fixed assets	**-**	2
Interest received	**19**	2
Net cash outflow from investing activities	**(12,125)**	(1,594)
Financing activities		
Convertible shareholder loans receipt	**30,509**	16,910
Bond proceeds	**-**	6,800
Loan repayments	**(4,334)**	(2,034)
Finance lease and hire purchase contracts – reduction in liability	**(114)**	(78)
Net cash inflow from financing activities	**26,061**	21,598
Net movement in cash and cash equivalents	**(6,237)**	(648)

Analysis of changes in net debt

	At 1 June 2022 £'000	Cash flows £'000	Non-cash changes £'000	At 31 May 2023 £'000
Cash:				
Cash in hand and at bank	**8,097**	**(6,237)**	**-**	**1,860**
Debt:				
Debt due within one year	**(57,105)**	**(30,432)**	**13,070**	**(74,467)**
Debt due after one year	**(26,997)**	**4,371**	**(95)**	**(22,721)**
	(84,102)	**(26,061)**	**12,975**	**(97,188)**
Net debt	**(76,005)**	**(32,299)**	**12,975**	**(95,328)**

22. Notes to the cash flow statement *(continued)*

Company

	2023 £'000	2022 £'000
Cash flows from operating activities		
Loss for financial year	**(20,580)**	(24,945)
Depreciation	**1,696**	1,349
Interest receivable	**(19)**	(2)
Interest payable & similar charges	**(1,126)**	23
Change in stocks	**(394)**	83
Change in debtors	**(304)**	(440)
Change in creditors	**(3,580)**	9,934
Profit on sale of plant & equipment	**-**	(2)
Cash used in operations	**(24,307)**	(14,100)
Interest paid	**(23)**	(23)
Net cash outflow from operating activities	**(24,330)**	(14,023)
Investing activities		
Payments to acquire tangible fixed assets	**(12,169)**	(7,962)
Receipts from sale of tangible fixed assets	**-**	2
Interest received	**19**	2
Net cash outflow from investing activities	**(12,150)**	(7,958)
Financing activities		
Convertible shareholder loans	**30,509**	16,910
Bond proceeds	**-**	6,800
Finance lease – reduction in liability	**(114)**	(78)
Net cash inflow from financing activities	**30,395**	23,632
Net movement in cash and cash equivalents	**(6,085)**	1,651

Analysis of changes in net debt

	At 1 June 2022 £'000	Cash flows £'000	Non cash changes £'000	At 31 May 2023 £'000
Cash:				
Cash in hand and at bank	**7,792**	**(6,085)**	**-**	**1,707**
Debt				
Debt due within 1 year	**(52,350)**	**(30,509)**	**13,070**	**(69,789)**
Debt due after one year	**(15,703)**	**112**	**(95)**	**(15,686)**
	(68,053)	**(30,397)**	**12,975**	**(85,475)**
Net debt	**(60,261)**	**(36,482)**	**12,975**	**(83,768)**

23. Financial instruments

Capital risk management

The Group manages its capital to ensure that the Group will be able to continue as a going concern through the optimisation of the debt and equity balance. The capital structure of the Group consists of debt, which includes borrowings disclosed in notes 14 and 15, cash and cash equivalents and equity attributable to equity holders, comprising issued share capital, share premium and the profit and loss account.

The main purpose of financial instruments is to finance the Group's operations. The Group has other financial assets and liabilities such as trade and other receivables and trade and other payables, which arise directly from its operations.

Categories of financial instruments

	2023 £'000	2022 £'000
Financial Assets		
- Cash and cash equivalent	**1,860**	8,097
- Trade and other receivables	**3,879**	2,005
	5,739	10,102
Financial Liabilities		
- Trade and transfer related creditors	**3,187**	3,718
- FFP	**8,736**	10,262
- EFL loan	**2,978**	5,787
- Borrowings – shareholder loans	**69,664**	52,255
- Convertible bond – liability element including capitalised interest	**9,337**	9,682
- Non - convertible bonds including capitalised interest	**7,047**	6,926
- Finance lease and hire purchase contracts	**274**	261
	101,223	88,891

The above financial assets and financial liabilities do not include prepayments and accruals respectively.

Financial risk management objectives and policies

Management monitor and manage the financials risks relating to the operations of the Group through internal controls. These risks include currency risk, credit risk and liquidity risk.

Credit risk

The Group's principal financial assets are bank balances, cash and trade receivables. The Group's credit risk is primarily attributable to its trade receivables. Credit risk is managed by monitoring the aggregate amount and duration of exposure to any one customer depending upon their credit rating. The amounts presented in the statement financial position are net of allowances for doubtful debts, estimated by the Group's management based on prior experience and their assessment of the current economic environment.

The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies. The Group has no significant concentration of credit risk, with exposure spread over a significant number of counterparties and customers.

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the Directors. The Directors use management information tools including budgets and cash flow forecasts to be able to constantly monitor and manage current and future liquidity.

The funding of the Group is through loans from the principal shareholder as disclosed in note 14.

24. Post reporting date events

During the 2023 summer transfer window we secured Paul Smith, Asmir Begovic, Jack Colback, Steve Cook, Morgan Fox and Taylor Richards on permanent transfers, the latter of which had been on loan to us since July 2022. Reggie Cannon joined in September 2023.

In addition, Seny Dieng transferred to Middlesbrough and Robert Dickie to Bristol City. Nicholas Hamalainen and Stefan Johansen's contracts were terminated by mutual consent. Odysseus Alfa, Luke Amos, Leon Balogun, Christopher Martin, Conor Masterson, Charlie Owens and Olamide Shodipo departed due to their contracts expiring.

The net impact of post year end player trading is a £1,775,000 inflow (2022: Nil).

On the 8th of July Tony Fernandes stepped down as a director and shareholder of QPR, selling his shares to Total Soccer Growth Sdn Bhd, Sea Dream Limited and QPR Newco LLC, as a result, the current ownership of QPR Holdings Limited is as follows

- 59.93% Total Soccer Growth Holdings Limited, the ultimate owner of which is Ruben Gnanalingam
- 20.96% QPR Newco LLC, the ultimate owner of which is Richard Reilly
- 18.96% Sea Dream Ltd, the ultimate owners of which are the L.N.Mittal Family
- 0.15% variety of minority shareholders

Head coach Marti Cifuentes and first team coach Xavier Calm joined QPR on the 30th of October 2023 after Head coach Gareth Ainsworth and first team coach Richard Dobson left by mutual consent on the 28th of October 2023.

Lee Hoos replaced Amit Bhatia as Chairman on the 1st of November 2023.

On 12 January 2024 Christian Nourry replaced Lee Hoos as CEO, Lee remains in his position as Chairman.

25. Commitments

As at 31 May 2023, the Group is committed to spending a further £2.5m (2022 £9m) in respect of the development of Heston Sports Ground